

22CHCV00040 22CHCV00040

County: los-angeles

Division: Civil Law and Motion

Department: F43

Hearing date: 2026-07-13

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CHA%2CF43%2C07%2F13%2F2026

Source SHA-256: 242f048872387323628159125f08e19f6d0b35770792ac8fc28af55d99e9aee0

Case Number: 22CHCV00040 Hearing Date: July 13, 2026 Dept: F43

Dept. F43

Hearing Date: 07-13-26

Case # 22CHCV00040, Coates v. Interinsurance
Exchange of the Automobile Club

Trial Date: None set.

DEMURRER

MOVING PARTY: Defendant Interinsurance Exchange of The
Automobile Club

RESPONDING PARTY: No opposition was filed.

RELIEF REQUESTED

Order sustaining demurrer to the Third
Amended Complaint.

RULING: Demurrer to the Third Amended Complaint's
First, Second, and Fourth Causes of Action is sustained with leave to
amend. Demurrer to the Third Cause of
Action is sustained without leave to amend.

SUMMARY OF ACTION

On January 18, 2022, plaintiff James Coates (Plaintiff) filed this insurance action against defendant Interinsurance Exchange of the Automobile Club (Defendant), asserting breach of contract and a bad faith insurance claim.

Plaintiff is self-represented.

On April 25, 2025, the court sustained Defendant's demurrer to the Complaint with leave to amend. (4/25/2025 Minute Order, at pp. 3-4.)

On November 17, 2025, Plaintiff filed his First Amended Complaint (FAC). Plaintiff asserted the same causes of action with new details about when a vehicle accident occurred, messages confirming Plaintiff's valid insurance policy, the Defendant received proof of Plaintiff's treatment for injuries related to the accident, and the Defendant delayed paying the claim with a valid reason.

On January 2, 2026, Defendant filed and served its demurrer to the First Amended Complaint. The court sustained the demurrer with leave to amend within 30 days. (2/06/26 Minute Order.)

Plaintiff filed a Second Amended Complaint on March 2, 2026.

On May 6, 2026, Plaintiff filed a Third Amended Complaint, asserting bad faith, breach of contract, dilatory tactics, and intentional infliction of emotional distress. Plaintiff alleges the following: On July 20, 2019, Plaintiff was involved in a vehicle accident with an uninsured motorist.

(3AC ¶ 10.) At the time,

Plaintiff had an active automobile insurance policy with Defendant which provided uninsured motorist coverage for up to \$15,000. (Id.)

Plaintiff immediately reported the accident to Defendant the same day of the accident. (Id. ¶ 11.) Upon receiving notice of the accident,

Defendant represented to Plaintiff that an investigation would be

commenced. (Id. ¶ 12.) Rather than act promptly to investigate the

claim and expedite settlement, Defendant did not have reasonable standards for a prompt investigation of the claim. (Id.

¶ 13.) Defendant settled the claim in

the amount of \$15,000 which was sent to Plaintiff on January 11, 2021. (Id. ¶ 14.) Despite this, Defendant's unethical conduct

and treatment of Plaintiff's claim was malicious, willful, knowingly cruel, unjust, and oppressive, and showed extreme indifference to Plaintiff's rights and safety, which entitles Plaintiff to \$250,000.00 in compensatory damages. (Id. ¶ 15.)

Defendant filed a demurrer on June 8, 2026. No opposition was filed.

MEET AND CONFER

Before filing a demurrer, the moving party must file and serve a meet and confer declaration stating either: (1) how the parties met and conferred and that the parties did not reach an agreement resolving the issues raised in the demurrer; or (2) that the party who filed the pleading subject to the demurrer failed to respond to the meet and confer request or failed to meet and confer in good faith. (Code Civ. Proc., §§ 430.41, subd. (a)(3).) In Department F43, meet and confer means in person or via phone. A letter or email does not suffice. (Department F43 Courtroom Information, p. 2.)

The "meet and confer" requirement is not fully met because defense counsel only sent a letter to Plaintiff on May 22, 2026. (Declaration of Tina M. Bhatia, ¶ 2, Exh. A.) But Plaintiff never responded. Regardless, the court still considers the merits of the demurrer.

ANALYSIS

A. Demurrer

A party may respond to a pleading against it by demurrer based on one or more of eight enumerated grounds, including that "the pleading does not state facts sufficient to constitute a cause of action" and is uncertain, meaning "ambiguous and unintelligible." (Code Civ. Proc., § 430.10, subds. (e), (f).) The grounds for demurring must be apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law."

(Postley v. Harvey (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law[.]" (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.)

In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.)

1. First Cause of Action (Bad Faith) and Second Cause of Action (Breach of Contract)

Defendant contends no "bad faith" cause of action exists in California. If Plaintiff is pleading a "breach of implied covenant of good faith and fair dealing" claim, the claim fails because Plaintiff does not state the terms of an underlying insurance policy or contract or include a copy of the contract and policy.

Plaintiff does not oppose.

Although Plaintiff titles his First Cause of Action as "Bad Faith," Plaintiff's allegations assert Defendant violated the "implied covenant of good faith and fair dealings." (3AC ¶ 21.)

Generally, an "implied covenant of good faith and fair dealing" claim must be supported by the existence of a contract. (Ginsberg v. Gamson (2012) 205 Cal.App.4th 873, 896-897.) "Because the covenant of good faith and fair dealing essentially is a contract term that aims to effectuate the contractual intentions of the parties, compensation for its breach has almost always been limited to contract rather than tort remedies." (Cates Construction, Inc. v. Talbot Partners (1999) 21 Cal.4th 28, 43, citations omitted.) The elements of breach of the covenant of good faith and fair dealing are: (1) plaintiff and defendant entered a contract; (2) plaintiff performed all obligations under the contract or was

excused from performing all obligations;
(3) defendant's conduct prevented plaintiff from receiving the benefits under the contract; (4) defendant did not act fairly and in good faith; and
(5) plaintiff was harmed by defendant's conduct. (CACI No. 325.)

California recognizes a common law tort cause of action for an insurer's breach of the implied covenant of good faith and fair dealing which is commonly referred to as a "bad faith claim. The elements of a bad faith claims handling cause of action are: (1) that the insurer has withheld benefits due under a policy, and (2) that the withholding was unreasonable or without proper cause. (Major v. Western Home Ins. Co. (2009) 169 Cal.App.4th 1197, 1209.) Conduct constituting bad faith handling includes denying benefits due, paying less than due, and unreasonably delayed payments due. (Ibid.)

Plaintiff alleges Defendant delayed paying the \$15,000 settlement until over a year after Plaintiff reported the accident and several months after receiving proof of Plaintiff's accident-related injuries. (3AC ¶¶ 21-22, 27.) Plaintiff alleges he fully performed all conditions, covenants, and promises under the insurance policy but Defendant delayed settling the matter and paying Plaintiff. (Id. ¶¶ 27-29.)

However, Plaintiff fails to include a copy of any insurance policy documents or to allege the terms or legal effect of the alleged insurance policy. As the party who filed and pursued this action, Plaintiff has the burden of alleging ultimate facts to support his causes of action or attaching the relevant supporting exhibits to the complaint to support his causes of action. (See Code Civ. Proc., § 425.10, subd. (1); Burke v. Superior Court (1969) 71 Cal.2d 276, 279, fn. 4 ["[A] complaint must contain only allegations of ultimate facts as opposed to allegations of evidentiary facts or of legal conclusions or arguments."].)

"In an action based on a written contract, a plaintiff may plead the legal effect of the contract rather than its precise language." (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198-199. But see Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 299, 307 [requiring plaintiff to attach a copy of the contract or to set out the terms verbatim in the body of the complaint]; Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal.App.3d 452, 458-459.) Pleading contracts by legal effect involves

alleging the relevant terms in substance.

(McKell v. Washington Mutual, Inc.

(2006) 142 Cal.App.4th 1457, 1489; 4

Witkin, Cal Procedure (6th ed. 2025) Pleading, § 527 ["legal effect" requires

plaintiff to allege "the substance of [the contract's] relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions"].)

At most, Plaintiff alleges he had an active automobile

insurance policy with Defendant which provided uninsured motorist coverage for

up to \$15,000. (3AC ¶ 10.) Plaintiff provides no other information

concerning the terms of the policy or insurance contract. Without additional facts establishing the

terms or legal effect of the alleged insurance policy or agreement, Plaintiff

fails to allege breach of the implied covenant of good faith and fair dealing

or any "bad faith" claiming handling claim.

Plaintiff's breach of contract claim suffers from the

same defect. To plead breach of

contract, a complaint must allege facts showing (1) the existence of a

contract, (2) plaintiff's performance or excuse for nonperformance, (3)

defendant's breach, and (4) resulting damages to plaintiff. (Oasis West Realty, LLC v. Goldman (2011)

51 Cal.4th 811, 821; Aton Center,

Inc. v. United Healthcare Ins. Co. (2023) 93 Cal.App.5th 1214, 1230.)

Therefore, the court sustains Defendant's demurrer to the

First and Second Causes of Action.

The court gives Plaintiff one more opportunity to amend

to address the insurance contract and policy issue.

2. Third Cause of Action: Dilatory Tactics

Defendant contends there is no cause of action for

"dilatory tactics" recognized under California law.

Plaintiff does not oppose.

The court is perplexed by Plaintiff's "dilatory tactics"

claim. Although California recognizes

various tort claims which include delaying or frivolous conduct, no claim

exists for such conduct standing on its own.

(See *Sheldon Appel Co. v. Albert & Oliker* (1989) 47 Cal.3d 863, 873-874 [declining to recognize dilatory litigation conduct as a standalone tort].)

Therefore, the court sustains Defendant's demurrer to the Third Cause of Action without leave to amend.

3. Fourth Cause of Action: Intentional Infliction of Emotional Distress

Defendant contends Plaintiff fails to allege demonstrating "outrageous" conduct.

Plaintiff does not oppose.

To plead intentional infliction of emotional distress, the complaint must allege that: (1) defendant engaged in extreme and outrageous conduct; (2) with the intent to cause, or with reckless disregard to the probability of causing, emotional distress; and (3) as a result, plaintiff suffered extreme or severe emotional distress. (*Potter v. Firestone Tire & Rubber Co.* (1993) 6 Cal.4th 965, 1001; *Cervantez v. J.C. Penney Co.* (1979) 24 Cal.3d 579, 593.) "[The] conduct [must be] directed at the plaintiff or occur in the presence of the plaintiff of whom the defendant is aware. [This] factor . . . distinguishes intentional infliction of emotional distress from the negligent infliction of such injury." (*Potter*, supra, 6 Cal.4th at p. 1002, citations omitted; see also *So v. Shin* (2013) 212 Cal.App.4th 652, 671 [stating conduct must be directed to the plaintiff, but malicious or evil purpose is not required].)

Conduct is outrageous if it is so extreme that it exceeds the bounds usually tolerated by a civilized community and is directed at the Plaintiff. (*Cervantez*, supra, 24 Cal.3d at p. 593; *Christensen v. Superior Court* (1991) 54 Cal.3d 868, 903.) "Behavior may be considered outrageous if a defendant (1) abuses a relation or position which gives him power to damage the plaintiff's interest; (2) knows the plaintiff is susceptible to injury through mental

distress; or (3) acts intentionally or unreasonably with the recognition that the acts are likely to result in illness through mental distress.” (Pulver v. Avco Financial Services (1986) 182 Cal.App.3d 622, 637.) The complaint must allege “with great specificity” those acts the plaintiff believes are so extreme as to exceed all bounds usually tolerated in a civilized community. (Vasquez v. Franklin Management Real Estate Fund, Inc. (2013) 222 Cal.App.4th 819, 832.)

Plaintiff alleges while Defendant was processing his claim, he was going through medical treatments and was diagnosed with cancer. (3AC ¶ 10.) Because Defendant did not promptly process his claim, Plaintiff suffered emotional distress that contributed to the further decline in Plaintiff’s physical health. (Id. ¶ 10.)

Plaintiff then alleges Defendant “acted with intent to cause emotional distress or acted with deliberate disregard of a high probability that such distress would follow.” (3AC ¶ 11.) During the investigative process, Defendant “imposed impediments that did not allow the plaintiff to remain unaffected by the intentional delay in the defendant’s investigative processing of the subject claim.” (Id. ¶ 12.) According to Plaintiff, Defendant’s impeding actions created unbearable obstacles and nuisances which led to the plaintiff’s unwarranted emotional distress and ultimately his current debilitating and declining health—extreme emotional anguish, depression, fearfulness, anxiety, stressful headaches, difficulty sleeping, and shame in an amount to be proven at trial (Id. ¶¶ 12-13.)

Plaintiff fails to state the specific impediments other than “delay” or if and when Defendant learned Plaintiff was diagnosed with cancer and being treated for cancer. Plaintiff mentions Defendant issued a \$15,000 settlement check on January 11, 2021 and imposed confidentiality notices on Plaintiff after filing this action. (3AC ¶¶ 21-22, Exhs. C, D.) But this allegation indicates Defendant did receive the \$15,000 payment. Furthermore, a review of Plaintiff’s Exhibit D demonstrates the “confidentiality notice” is part of defense counsel’s email signature in order to comply with the California’s Rules of Professional Conduct as to attorney-client communications. (Id.,

Exh. D at p. 1.)

This conduct does not rise to the level of despicable or outrageous conduct required to support an intentional infliction of emotional distress claim.

Therefore, the court sustains Defendant's demurrer to the Fourth Cause of Action with leave to amend.

CONCLUSION and ORDER

Demurrer to the Third Amended Complaint's

First, Second, and Fourth Causes of Action is sustained with leave to amend. Demurrer to the Third Cause of Action is sustained without leave to amend.

Plaintiff may file and serve an amended complaint within thirty (30) days of this order.

Defendant to give notice.